

## **The complaint**

Mrs Y has complained that AXA Insurance UK Plc (AXA) misadvised her about her home insurance policy when she said it would be unoccupied.

## **What happened**

Mrs Y contacted AXA to tell it her home would be unoccupied as she was in the process of moving elsewhere. AXA told Mrs Y that the property wouldn't be classed as unoccupied so long as she stayed at the property for a couple of nights every 60 days. However, AXA later wrote to Mrs Y and told her the policy would be cancelled as it didn't provide cover for unoccupied properties.

Mrs Y complained to AXA. When AXA replied, it said the underwriting department had invoked the cancellation because Mrs Y had said she didn't intend to return to the property on a permanent basis. It apologised for any inconvenience caused.

So, Mrs Y complained to this service. While our investigator was looking at the complaint, AXA said it would offer Mrs Y £150 compensation, as it now thought it should have done this when it responded to Mrs Y's complaint.

Our investigator upheld the complaint in part, as she said AXA had misadvised Mrs Y. When AXA realised this, she said it was reasonable that it issued a cancellation notice and that it also offered to continue to offer cover for a period because of the incorrect advice. Mrs Y had the benefit of the policy and AXA waived the cancellation fee and refunded some of the premium. She said AXA didn't need to refund any travel costs. She said AXA's offer of £150 compensation was reasonable in the circumstances.

As Mrs Y didn't agree, the complaint was referred to me.

## **What I've decided – and why**

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I uphold this complaint in part and for largely the same reasons as our investigator. I will explain why.

When Mrs Y contacted AXA she was given incorrect information about whether her policy would continue to cover her, as she no longer lived at the property. She was told that so long as she stayed at the property for a couple of nights each 60-day period, it would re-set the occupancy requirement. Mrs Y spoke to AXA a few months later to explain her circumstances again and to check her cover. The call handler said it would need to be referred to the underwriter. I can understand that Mrs Y was shocked when she then received a letter from AXA saying her policy would be cancelled.

AXA wouldn't normally provide cover in Mrs Y's situation, as the property was no longer her permanent home. AXA now accepts it made a mistake in the advice it provided because,

based on the circumstances described by Mrs Y, this didn't meet its underwriting rules. However, this also meant Mrs Y did have cover in place with AXA and would have continued to have cover until the date on which AXA said it would cancel the policy. AXA has also confirmed that it would have dealt with a claim while the policy remained in place. If there were issues with AXA accepting a claim or how it dealt with it, Mrs Y could have raised a complaint with AXA about that. But, as that didn't happen, I'm unable to comment on this any further.

I'm aware that Mrs Y told AXA she visited the property for a 10-day period after she had moved elsewhere and that there were travel related costs as a result. Mrs Y has said AXA should pay those costs. However, Mrs Y had the benefit of the policy, even if she didn't need to make a claim. I'm also aware that Mrs Y could have considered other policies where she didn't have to travel.

While the complaint was with this service, AXA reviewed what happened again and decided that it should have offered compensation when it dealt with the complaint. It has now offered Mrs Y £150 compensation, which I think is reasonable in the circumstances.

### **Putting things right**

AXA should pay Mrs Y the £150 compensation it has offered, if she now wishes to accept it.

### **My final decision**

For the reasons I have given, it is my final decision that I uphold this complaint in part. I require AXA Insurance UK Plc to pay Mrs Y £150 compensation, if she now wishes to accept it.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs Y to accept or reject my decision before 16 December 2021.

Louise O'Sullivan  
**Ombudsman**